

hurdles and other challenges in developing the land. An even bigger problem was the lack of transparency in the financial statements of the property firms, given that a lot of their dealings were in cash.

But how did all that matter as long as land prices and stock prices were rising by the day? When the bubble burst the following year, real estate stocks would bear the brunt of the selling fury. But that was still a few months away.

In March, SEBI issued a directive that real estate companies could get land banks valued only if a clear title deed existed. And while the rule was directed at real estate firms in general, DLF's valuation did take a bit of a knock as its merchant bankers had been pitching the issue on the strength of the company's land bank.

When DLF's plans to go public started doing the rounds in 2006, talk was that the listing would make K. P. Singh the richest person in the country and pitch DLF among the top three companies in terms of market capitalization. When the issue finally got all the required clearances, the number of shares on offer as well as the issue price were less than what had been talked about in merchant banking circles.

The year 2007 was also the high-water mark for the Indian broking industry. In May, the Nirmal Jain-promoted India Infoline poached four senior executives from the French broking firm CLSA. The quartet of Bharat Parajia, H. Nemkumar, Anirudh Dange and Vasudev Jagannath were paid a sign-on bonus of Rs 11 crore each. Parajia and another CLSA colleague Abhijit Raha had become legends in the broking industry by propelling CLSA to the top of the broking league tables. CLSA managed to retain the top slot for a good many years, despite bigger and more established global investment banks snapping at its heels. This was a record sum in the broking industry, where sign-on bonuses had rarely topped Rs 1 crore earlier.

Not just the broking industry, but outsized pay packages appeared to be the flavour of the season across the corporate world, as companies were making massive profits. Just two days before India Infoline had disclosed the details of the compensation package for its new executive hires to the exchanges, Prime Minister Manmohan Singh had corporate India in a tizzy when, at a public function, he urged restraint on 'excessive remuneration to promoters and senior executives'. India Inc countered Singh's remarks, saying it was easy to target top corporate executives because their source of